health. He also vehemently asserted that he had not imputed anything negative about Moolgaokar and used the opportunity to shower praise on the ailing chief, saying, ‘Under his [Moolgaokar’s] outstanding guidance the company has flourished and is flourishing and to suggest that the company is not doing well is absurd.’ He added that if there was a change at the top in TELCO, it would happen ‘in the normal course’ and it ‘will have nothing to do with the health of the company’.

Nothing could, however, pacify Moolgaokar. He continued to refuse to step down if Mody were to be his successor. Instead, he insisted that Ratan be made the deputy chairman of TELCO, with the responsibility for the company’s day-to-day operations. In a board meeting held on 7 April 1988, Palkhivala voluntarily stepped down in favour of Ratan, who was appointed deputy chairman.

This appointment was a huge step up for Ratan. Though he was given the title of deputy chairman, he was the de facto chairman, as Moolgaokar’s deteriorating health prevented him from attending to office work. A newspaper report said the appointment indicated that the ‘patriarch of the group is not averse to saying that he would like to see a Tata at the head of the group as chairman of Tata Sons’. It also added that the appointment had ‘put the lid on the ambitions of TISCO chairman Russi Modi, who was also gunning for the post of TELCO’s chairman’. But Mody was a feisty fighter.

JRD had not expected Moolgaokar to take such an uncompromising stance against Mody. If he wanted Mody to take over TELCO, they would now have to push Moolgaokar to a corner and present Mody’s appointment as a fait accompli. To make the transition smooth, JRD and Mody tried to persuade Ratan to publicly declare that he would not work under Moolgaokar, only under Mody.

It was expected that the plan would make Moolgaokar’s continuation as chairman untenable. But they had miscalculated Ratan’s reaction, and it became an inflection point. The young Tata refused to be anybody’s pawn and undermine an ailing man. If he had deferred to JRD and Mody, it would have been tantamount to running down the venerable Moolgaokar. Ratan reacted strongly. He shot off a letter resigning from the directorship of TELCO and Tata Sons.

Ratan was not gainsaying JRD, but saving himself from acting against his own conscience. The resignation drove home the point that he would not hesitate to leave the Tatas altogether if he were pushed to go against his